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Asia Compass | Asia Pacific

Asia's Strongest Industrial Capex Cycle in 20 Years?

Asia's industrial super-cycle has become a defining framework for regional macro and markets.

While the Middle East conflict and resulting commodity-market impacts remain in focus, **we see Asia entering its strongest industrial capex cycle since the mid-2000s**, driven by AI demand, energy security and geopolitics. Investment is set to accelerate sharply, supporting capex, job creation, wages and consumption.

Investor pushback focuses on inflation, durability and policy risk. However, **inflation appears manageable for now**; the cycle's longevity depends more on profitability, policy support and geopolitical stability than Fed policy.

We also highlight this week our latest work on investable global AI themes, with power/energy still a structural bottleneck and a preference for China AI solution providers, US hyperscalers and AI manufacturing plays.

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Three Key Reports: Drivers of Asia's Capex Super-Cycle



Why Credit Growth is Booming

Asia ex-China is seeing its strongest credit expansion in nearly two decades, **with bank lending up 8.5% year-on-year**. Capex, exports and producer prices are driving corporate borrowing, while broader investment and tighter labour markets are lifting household demand. With the capex super-cycle still gaining momentum, robust credit growth appears less a cyclical burst than a reflection of a deeper structural shift in Asia's growth model.



Pushback on Our Capex Super-Cycle Thesis

Far from being an AI-only phenomenon, **Asia's investment boom is broadening across sectors and geographies**. While AI remains a powerful catalyst, rising expenditure in manufacturing, infrastructure and traditional industries suggests a more pervasive capex super-cycle.



Defense Spending Shifting into a Higher Gear

Asia's defense spending is entering a new phase, with annual growth accelerating to 6.6% over 2022–26 and expenditures reaching an estimated US\$700bn in 2026. Further budget increases could lift spending to US\$1–1.2tn over time, reinforcing the regional capex super-cycle. While military outlays may modestly weigh on productivity, innovation spillovers in AI and advanced technologies could partly offset the cost. Financing looks manageable for developed Asia and China, but tougher for emerging Asia.

Beyond The Headlines: Global Thematics – Playing the AI Infrastructure Dip



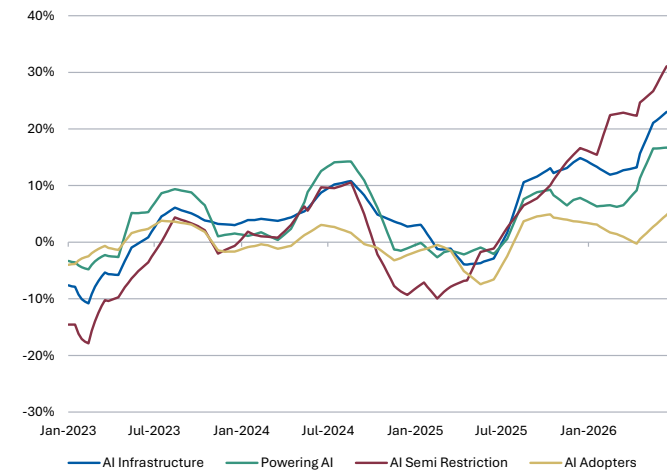
Has the recent pullback in AI infrastructure created a compelling entry point? We reassess key concerns weighing on the sector and conclude that the long-term investment case remains intact, underpinned by sustained demand for compute and continued AI infrastructure investment. We identify our highest-conviction opportunities across the AI ecosystem, from compute and power infrastructure to hyperscalers and Chinese AI solution providers.

[Read more - Playing the AI Infrastructure Dip: Where to Invest and Where We See Risk](#)

Not To Be Missed

One Chart You Can't Miss

Exhibit 1: AI-related themes showing ongoing strength



Source: FactSet, Morgan Stanley Research; Weekly data as of 17 July 2026

Must Listen Podcast



A More Selective Stock Market

Our CIO and Chief U.S. Equity Strategist Mike Wilson explains why he thinks the bull market has entered a new phase, with more focus on quality.

We expect volatility to remain heightened and emphasize our wider bull-to-bear spread across the region.

Exhibit 2: Key Market Forecasts and Key Macro Forecasts

Market/Region (Index)	MS Rating	Latest Price	Jun 2027 Index Target						12mf P/E Valuations		
			Bear Case (%)		Base Case (%)		Bull Case (%)		Current	10yr Avg	% +/-
MSCI Emerging Markets	EW	1,560	1,100	-29.5%	1,800	15.4%	2,100	34.6%	9.9	12.3	-20%
MSCI Asia Pac ex Japan	-	813	590	-27.4%	900	10.8%	1,080	32.9%	10.8	13.6	-21%
Japan (TOPIX)	OW	3,974	2,600	-34.6%	4,300	8.2%	4,900	23.3%	16.0	14.1	13%
China (MSCI China)	EW	76	60	-21.1%	91	19.0%	103	35.3%	10.9	11.8	-7%
China A-Shares (CSI 300)	-	4,600	3,550	-22.8%	5,400	17.4%	6,090	32.4%	13.4	12.4	8%
Hong Kong (Hang Seng)	EW	25,808	18,000	-30.3%	28,400	10.0%	32,400	25.5%	10.7	10.8	0%
Australia (S&P/ASX 200)	EW	9,039	6,850	-24.2%	9,250	2.3%	10,325	14.2%	17.9	16.5	9%
India (SENSEX)	EW	77,655	66,000	-15.0%	89,000	14.6%	100,000	28.8%	20.4	20.3	0%
South Korea (KOSPI)	EW	5,663	6,000	5.9%	8,500	50.1%	10,000	76.6%	5.1	10.4	-51%
Latin America (MSCI LatAm)	-	2,999	2,300	-23.3%	3,600	20.1%	4,700	56.7%	9.5	10.9	-13%
Brazil (Bovespa)	OW	173,885	145,000	-16.6%	240,000	38.0%	280,000	61.0%	8.5	9.8	-14%
Mexico (MEXBOL)	EW	66,480	62,000	-6.7%	80,000	20.8%	90,000	35.4%	13.1	14.3	-9%
USA (S&P 500)	-	7,316	5,900	-19.4%	8,300	13.4%	9,400	28.5%	19.4	19.1	1%
Europe (MSCI Europe)	-	2,569	1,820	-29.1%	2,810	9.4%	3,080	19.9%	14.9	14.3	4%

Source: FactSet, IBES, Morgan Stanley Research estimates; Data as of 29 July, 2026.

Exhibit 3: Key Cross-asset Allocation Views

Global Asset Allocation					Relative Equity Allocation					Relative Tsy Allocation				
Equities					US					USTs				
Bonds					Europe					EGBs				
Credit					Japan					JGBs				
Comms					EM									
Cash														

Source: Morgan Stanley Research

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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